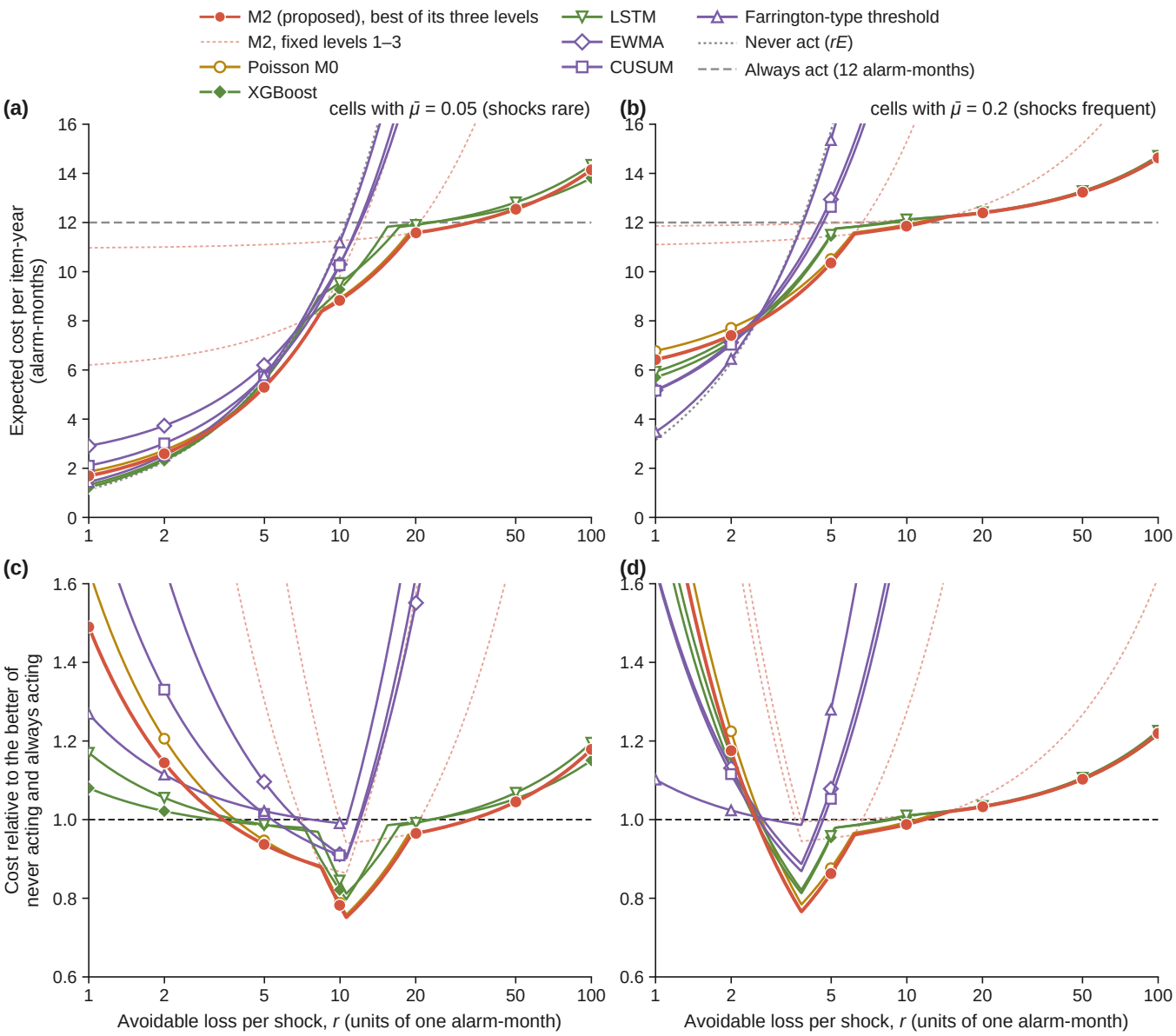
M2 (proposed), best of its three levels
M2, fixed levels 1–3
Poisson M0
XGBoost
LSTM
EWMA
CUSUM
Farrington-type threshold
Never act (rE)
Always act (12 alarm-months)
(a)
cells with μ̄ = 0.05 (shocks rare)
(b)
cells with μ̄ = 0.2 (shocks frequent)
Expected cost per item-year (alarm-months)
(c)
(d)
Cost relative to the better of never acting and always acting
Avoidable loss per shock, r (units of one alarm-month)
Avoidable loss per shock, r (units of one alarm-month)